- What can you do with it?
- Is it an investment or utility token?
- Can you exchange it for another type of token or for any fiat currency?
- Is it fungible or non-fungible?
- Is it limited in number?

These are concerns not only for you and me but also for the U.S. Securities and Exchange Commission (SEC) and regulatory agencies that are trying to regulate the cryptocurrency industry to protect investors from fraudulent products and investments. The Ethereum community continually addresses these issues through a process that includes development, discussion, and introduction of standards. It has developed a method to improve the protocol that underlies its blockchain and provides standards for advancing application development.

9.1.1 Ethereum improvement proposal

Let’s examine how standards evolve in Ethereum. A standard is developed under the EIP (https://eips.ethereum.org/EIPS/eip-1) to promote improvements in the Ethereum ecosystem. The EIP is a means to manage the protocol specification, improvements, updates, client APIs, and contract standards. EIP handles issues in different categories, including

- Core or core Ethereum protocol
- Network or network level improvement
- Interface or interfaces such as ABI, RPC
- Ethereum request for comments (ERC) or application-level conventions and standards